Block practice · Research data, segments and targeting

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

One part as a percentage of a total

Market segmentation and targeting

Mass marketing and niche marketing

Market research data: types and reliability

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Practice workbook · One part as a percentage of a total

Expressing one part as a percentage of a whole, such as market share or one category's share of a total.

3 question parts: 1 worked-example retry and 2 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-CALC-09

1. Question 4 · part a · 2 marks

2024 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part a only.

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4 *Jimmy Choo* has many shops around the world.

Figure 2 shows the number of *Jimmy Choo* shops in some locations.

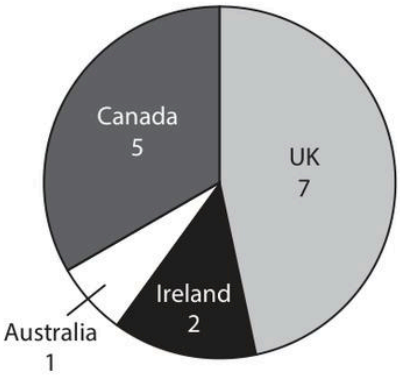


Figure 2

(a) Calculate, to two decimal places, the percentage of *Jimmy Choo* shops in the UK.
You are advised to show your working.

(2)

OLevels.COM — SCHOOL —

..... %

P 7 5 8 4 4 A 0 1 7 2 0

1. Question 4 · part a · 2 marks

2024 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part a only.

(b) Analyse the benefit to *Jimmy Choo* of using share capital to fund its growth.

(6)

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1. Question 4 · part a · 2 marks · Working and answer

Working and answer

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2. Question 3 · part c · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

3 *BEXIMCO*, the owner of *Yellow*, is a multinational business that operates in many areas, including chemical, engineering and financial services.

(a) Define the term **multinational business**.

(1)

(b) Outline **one** benefit to *BEXIMCO* of owning *Yellow*.

(2)

In 2017 *BEXIMCO* had a total revenue of £147.5 million. *Yellow*'s revenue for the same year was £10.68 million.

(c) Calculate, to 2 decimal places, the percentage of revenue that *Yellow* contributed to *BEXIMCO*'s total revenue.

(2)

..... %

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P 5 9 9 3 2 A 0 1 0 1 6

2. Question 3 · part c · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

Yellow prides itself on offering clothing at prices that all people can afford.

(d) Analyse why *Yellow* sells to all demographics.

(6)

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2. Question 3 · part c · 2 marks · Working and answer

Working and answer

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3. Question 1 · part a.iii · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part a.iii only.

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1 In 1985 *Emirates* started its airline business with just two aircraft. It is now a well-known airline with over 265 aircraft flying to over 180 destinations around the world.

Emirates has won many awards for service and reliability. Until 2016 passengers rated *Emirates* the leading airline to travel with. However, in 2017 its rating dropped from first to fourth.

(a) (i) Which **one** of the following only applies to a public limited company?

(1)

Select **one** answer.

- ☒ **A** Controlled by the government
- ☒ **B** Shares are traded on the stock exchange
- ☒ **C** A maximum of 50 shareholders
- ☒ **D** Restriction in the transfer of shares

(ii) Which **one** of the following departments would send an invoice to a supplier?

(1)

Select **one** answer.

- ☒ **A** Human resources
- ☒ **B** Marketing
- ☒ **C** Finance
- ☒ **D** Production

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P 6 2 4 2 7 A 0 3 2 0

3. Question 1 · part a.iii · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part a.iii only.

Figure 1 shows the annual total revenue of £1 200 000 for five businesses.

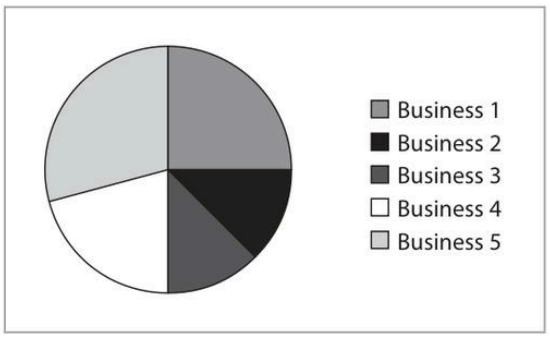


Figure 1

Business 1	**£300 000**
Business 2	**£150 000**
Business 3	**£150 000**
Business 4	**£250 000**
Business 5	**£350 000**

(iii) What is the market share for Business 2?

(1)

Select **one** answer.

- ☒ **A** 12.5%
- ☒ **B** 20.8%
- ☒ **C** 25.0%
- ☒ **D** 29.2%

(iv) Which **one** of the following describes an overdraft?

(1)

Select **one** answer.

- ☒ **A** A method of borrowing regular amounts
- ☒ **B** More funds taken out than are in the account
- ☒ **C** Money lent by many people to a business
- ☒ **D** A loan due for repayment in five years

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P 6 2 4 2 7 A 0 4 2 0

3. Question 1 · part a.iii · 1 mark · Working and answer

Working and answer

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Practice workbook · Market segmentation and targeting

Dividing a market by location, demographics, lifestyle, income or age, and using segments to target customers.

6 question parts: 1 worked-example retry and 5 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S4-11

1. Question 2 · part e · 3 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part e only.

2 (a) State **one** non-financial method *AWG* may use to motivate its employees.

(1)

(b) State **one** task of an *AWG* employee working in the human resources department.

(1)

(c) Explain **one** benefit of globalisation to a small business.

(3)

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1. Question 2 · part e · 3 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part e only.

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(d) Explain **one** method of below-the-line promotion a business may use to retain its customers.

(3)

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(e) Explain **one** benefit to a business of using market segmentation to target its customers.

(3)

1. Question 2 · part e · 3 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part e only.

If *AWG* expands its business in Iceland it may need to seek additional finance. It is considering two options:

Option 1: use venture capital to open new stores

Option 2: start offering franchises.

(f) Justify which **one** of these two options *AWG* should choose.

(9)

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1. Question 2 · part e · 3 marks · Working and answer

Working and answer

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2. Question 1 · part d · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part d only.

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1 *Nantgwynfaen Organic Farm (NOF)* is a farm growing a range of fruit and vegetables. It has a farm shop and offers accommodation with breakfast. It was set up by Amanda and Ken Edwards in West Wales, UK.

NOF supports farmers by selling local organic produce in its farm shop. The produce from the farm shop is served to the visitors staying overnight at the farm.

NOF is committed to being environmentally friendly by recycling, avoiding the use of packaging and reducing the use of electricity.

(a) (i) Which **one** of the following is an external source of finance?

(1)

Select **one** answer.

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Bank loan
- ☒ **D** Selling assets

(ii) Which **one** of the following is the name of a pricing strategy where a business sets a high price for a new product in the market?

(1)

Select **one** answer.

- ☒ **A** Penetration
- ☒ **B** Skimming
- ☒ **C** Competition
- ☒ **D** Promotional

(iii) Which **one** of the following types of discrimination is protected by legislation?

(1)

Select **one** answer.

- ☒ **A** Age
- ☒ **B** Ability
- ☒ **C** Social
- ☒ **D** Ethical

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P 6 6 4 7 2 A 0 3 2 0

2. Question 1 · part d · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part d only.

(iv) Which **one** of the following is a document employers would send to potential employees?

(1)

Select **one** answer.

- ☒ **A** Curriculum vitae
- ☒ **B** Letter of application
- ☒ **C** Newspaper advertisement
- ☒ **D** Person specification

NOF imports dried fruit from France. A kilogram (kg) costs €12.84.

The exchange rate is £1 (Pound sterling) = €1.16 (Euro).

(v) Which **one** of the following would *NOF* pay for 1kg of dried fruit in pounds sterling?

(1)

Select **one** answer.

- ☒ **A** £1.16
- ☒ **B** £11.07
- ☒ **C** £12.84
- ☒ **D** £14.00

NOF buys honey from a local farm for £1.60 a jar and sells it to customers for £3.60.

(vi) What is the markup on a jar of honey?

(1)

Select **one** answer

- ☒ **A** 1.6%
- ☒ **B** 2%
- ☒ **C** 125%
- ☒ **D** 250%

(b) Define the term **profit**.

(1)

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P 6 6 4 7 2 A 0 4 2 0

2. Question 1 · part d · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part d only.

(c) Define the term **non-current liabilities**.

(1)

(d) State **one** reason why *NOF* segments its target market by income.

(1)

Figure 1 is an extract from *NOF*'s statement of comprehensive income.

	£000s
Revenue	160
Cost of sales	70
Gross profit	90
Other operating expenses	10

Figure 1

(e) Calculate the operating profit margin. You are advised to show your working.

(2)

.....%

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2. Question 1 · part d · 1 mark · Working and answer

Working and answer

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3. Question 1 · part c · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part c only.

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1 (a) (i) Which **one** of the following is an advantage of primary market research?

(1)

Select **one** answer.

- ☒ **A** It is a more up to date method of research
- ☒ **B** It is less time-consuming than secondary research
- ☒ **C** It is cheaper than other types of market research
- ☒ **D** It is only done by market-research agencies

(ii) Which **one** of the following is a financial objective?

(1)

Select **one** answer.

- ☒ **A** Personal satisfaction
- ☒ **B** Market share
- ☒ **C** Independence
- ☒ **D** Control

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3. Question 1 · part c · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part c only.

Figure 1 shows selected financial information for a pottery business.

Number of ceramic bowls sold per day	200
Price per bowl	£12.00
Variable cost per bowl	£3.00
Fixed costs per day	£600

Figure 1

(iii) Which **one** of the following is the total revenue for a day?

(1)

Select **one** answer.

- ☒ **A** £600
- ☒ **B** £1 800
- ☒ **C** £2 400
- ☒ **D** £7 200

(iv) Which **one** of the following would be a disadvantage for a partner in a partnership?

(1)

Select **one** answer.

- ☒ **A** Sharing the workload
- ☒ **B** Liability for all debts
- ☒ **C** Access to more capital
- ☒ **D** Sharing skills

Huawei's brand value for 2018 was $7.6 billion. *Huawei* plans to increase its brand value by 14% in 2019.

(v) What would be the brand value in 2019?

(1)

Select **one** answer.

- ☒ **A** $6.20 billion
- ☒ **B** $7.74 billion
- ☒ **C** $8.66 billion
- ☒ **D** $10.64 billion

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3. Question 1 · part c · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part c only.

(vi) Which **one** of the following is a source of long-term finance?

(1)

Select **one** answer.

- ☒ **A** Overdraft
- ☒ **B** Sales revenue
- ☒ **C** Trade credit
- ☒ **D** Bank loan

(b) Define the term **sole trader**.

(1)

(c) Define the term **demographics**.

(1)

(d) State **one** reason why *Huawei* may use share capital as a source of finance.

(1)

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3. Question 1 · part c · 1 mark · Working and answer

Working and answer

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4. Question 2 · part b · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part b only.

2 (a) State **one** way *TBTS* can measure its success as a business.

(1)

(b) State **one** reason why *TBTS* might segment its market.

(1)

(c) Explain **one** benefit to a business of having a flat organisational structure.

(3)

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4. Question 2 · part b · 1 mark · Working and answer

Working and answer

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5. Question 4 · part b · 6 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

4 **Figure 2** is an extract of financial information from *Café Pinch*.

Operating profit	€84 054
Current assets	€75 000
Current liabilities	€63 000
Capital employed	€266 058

Figure 2

(a) Calculate, to two decimal places, the return on capital employed (ROCE). You are advised to show your working.

(2)

.....%

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5. Question 4 · part b · 6 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

(b) Analyse how *Café Pinch* could use market segmentation to target its customers.

(6)

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5. Question 4 · part b · 6 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

Café Pinch needs to ensure it understands the needs of its customers to continue being successful.

(c) Evaluate the importance of using methods of market research for *Café Pinch* to meet customer needs. You should use the information provided as well as your own knowledge of business.

(12)

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5. Question 4 · part b · 6 marks · Working and answer

Working and answer

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6. Question 4 · part c · 12 marks

2023 JUN · Paper 02

Further practice · Attempt part c only.

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4 *IKEA* continually reviews the products it makes to meet the demands of its customers. Changing the design of bedroom furniture to meet the needs of a couple setting up home or of parents refurnishing their children's bedroom.

Figure 3 shows the value of *IKEA*'s inventory for 2019 and 2020.

Year	Inventory € (billions)
2019	4.3
2020	3.7

Figure 3

(a) Calculate, to two decimal places, the percentage decrease in inventories from 2019 to 2020. You are advised to show your working.

(2)

OLevels.COM — SCHOOL —

.....%

6. Question 4 · part c · 12 marks

2023 JUN · Paper 02

Further practice · Attempt part c only.

(b) Analyse why *IKEA* uses statements of comprehensive income to assess its business performance.

(6)

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6. Question 4 · part c · 12 marks

2023 JUN · Paper 02

Further practice · Attempt part c only.

IKEA prides itself on knowing the tastes and demands of its customers. This means it can provide the best experience possible when customers are shopping. It offers inspirational home furnishing tutorials and workshops to help customers create the perfect home.

(c) Evaluate the importance to *IKEA* of using demographic segmentation when targeting its customers. You should use the information provided as well as your own knowledge of business.

(12)

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6. Question 4 · part c · 12 marks

2023 JUN · Paper 02

Further practice · Attempt part c only.



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6. Question 4 · part c · 12 marks · Working and answer

Working and answer

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Practice workbook · Mass marketing and niche marketing

Selling one product to the whole market versus serving a small specialised segment, and the benefits of each.

4 question parts: 1 worked-example retry and 3 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S4-24

1. Question 1 · part f · 3 marks

2025 NOV · Paper 02

Worked-example retry · Attempt part f only.

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1 *Samsung* is a South Korean public limited company. It designs and produces electronic products including mobile phones, televisions and laptops. It has factories and offices in 74 countries and employs more than 270,000 people worldwide.

Samsung is the leading producer of televisions. It competes with businesses such as *Apple* and *Xiaomi* in the smartphone market.

The aim of *Samsung* is 'to create superior products and services that contribute to a better society'. To achieve this, *Samsung* invests heavily in new technology and employs skilled engineers to design innovative products.

(a) (i) Which **one** of the following is a financial aim of a business?

(1)

Select **one** answer.

- ☒ **A** Survival
- ☒ **B** Independence
- ☒ **C** Control
- ☒ **D** Challenge

(ii) Which **one** of the following is a job in the secondary sector?

(1)

Select **one** answer.

- ☒ **A** Farmer
- ☒ **B** Grocery store manager
- ☒ **C** Restaurant waiter
- ☒ **D** Ship builder

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1. Question 1 · part f · 3 marks

2025 NOV · Paper 02

Worked-example retry · Attempt part f only.

Figure 1 shows the number of employees in three factories owned by a European business.

	Number of employees
Factory 1	210
Factory 2	125
Factory 3	140

Figure 1

The business pays remuneration of €120 per day for each employee.

(iii) Which **one** of the following is the total daily remuneration cost for the three factories?

Select **one** answer. (1)

- ☒ **A** €15 000
- ☒ **B** €16 800
- ☒ **C** €25 200
- ☒ **D** €57 000

(iv) Which **one** of the following is an advantage of a hierarchical organisational structure?

Select **one** answer. (1)

- ☒ **A** It is less expensive to operate than a flat structure
- ☒ **B** It has a short chain of command
- ☒ **C** It has more job promotion opportunities for its employees
- ☒ **D** It has a wide span of control

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1. Question 1 · part f · 3 marks

2025 NOV · Paper 02

Worked-example retry · Attempt part f only.

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Figure 2 shows a monthly cash flow statement for a business.

	€ (euros)
Opening balance	€76 000
Cash inflow	€59 000
Cash outflow	€34 000

Figure 2

(v) Which **one** of the following is the net cash flow for this month?

Select **one** answer.

(1)

- ☒ **A** €17 000
- ☒ **B** €25 000
- ☒ **C** €42 000
- ☒ **D** €101 000

(vi) Which **one** of the following best describes Taylor's motivational theory?

Select **one** answer.

(1)

- ☒ **A** Workers are motivated by money
- ☒ **B** Workers are motivated by esteem needs
- ☒ **C** Workers are motivated by hygiene factors
- ☒ **D** Workers are motivated by working in teams

(b) Define the term **job rotation**.

(1)

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1. Question 1 · part f · 3 marks

2025 NOV · Paper 02

Worked-example retry · Attempt part f only.

(c) Define the term **interest rate**.

(1)

(d) State **one** job that an employee of *Samsung* might do in the production department.

(1)

A factory took 20 hours to produce 1000 smartphones.

(e) Calculate the factory's productivity of smartphones per hour. You are advised to show your working.

(2)

..... smartphones per hour

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P 7 8 9 7 1 A 0 6 2 0

1. Question 1 · part f · 3 marks

2025 NOV · Paper 02

Worked-example retry · Attempt part f only.

(f) Explain **one** advantage to a business of mass marketing.

(3)

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OLevels.com SCHOOL

1. Question 1 · part f · 3 marks

2025 NOV · Paper 02

Worked-example retry · Attempt part f only.

(g) Analyse how recruitment documents may help *Samsung* to hire the best employees for its business.

(6)

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(Total for Question 1 = 20 marks)

1. Question 1 · part f · 3 marks · Working and answer

Working and answer

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2. Question 1 · part a.i · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part a.i only.

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1 *The Better Toy Store (TBTS)* is a children's toy shop. *TBTS* has three shops in Singapore. Two of the shops are located in busy shopping malls and the third is located at the Jewel Changi Airport. *TBTS* has a website for customers looking to buy toys online.

TBTS selects toys to sell that are excellent for play, value, design and quality. All *TBTS* toys are environmentally friendly.

(a) (i) Which **one** of the following is a form of promotion that targets a specialised segment of the market?

Select **one** answer.

(1)

- ☒ **A** Mass marketing
- ☒ **B** Niche marketing
- ☒ **C** Market share
- ☒ **D** Market analysis

OLevels.com SCHOOL

(ii) Which **one** of the following is a financial aim for a business?

Select **one** answer.

(1)

- ☒ **A** Survival
- ☒ **B** Challenge
- ☒ **C** Social objectives
- ☒ **D** Personal satisfaction

(iii) Which **one** of the following is a variable cost?

Select **one** answer.

(1)

- ☒ **A** Rent paid
- ☒ **B** Management salaries
- ☒ **C** Insurance agreed
- ☒ **D** Raw materials

2. Question 1 · part a.i · 1 mark · Working and answer

Working and answer

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3. Question 1 · part c · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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1 *Café Pinch* is a small café based in Berlin, the capital city of Germany. It serves a range of hot and cold meals. The owner, Kumaran, trained in good Berlin restaurants and cafés before starting his own café business. It opened in December 2018. It has 10 seats in front of the café and 10 inside. It is located close to an underground station. Despite being surrounded by many other cafés, *Café Pinch* received 5 out of 5 in online reviews. The reviewers commented on the high-quality cooked food, filled Ciabattas, range of drinks and excellent customer service. The café is open 8am–5pm every day. It has a website which is used for information purposes only.

(a) (i) Which **one** of the following is an example of an internal source of finance?

Select **one** answer.

(1)

- ☒ **A** Overdraft
- ☒ **B** Crowdfunding
- ☒ **C** Retained profit
- ☒ **D** Share capital

(ii) Which **one** of the following is a result of average costs rising in a growing large business?

Select **one** answer.

(1)

- ☒ **A** Economies of scale
- ☒ **B** Diseconomies of scale
- ☒ **C** Purchasing economies
- ☒ **D** Financial economies

(iii) Which **one** of the following is the money left after all costs have been subtracted from revenue?

Select **one** answer.

(1)

- ☒ **A** Gross profit
- ☒ **B** Inflows
- ☒ **C** Loss
- ☒ **D** Profit

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3. Question 1 · part c · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(iv) Which **one** of the following is a debt payable after 12 months?

Select **one** answer.

(1)

- ☒ **A** Non-current liability
- ☒ **B** Current liability
- ☒ **C** Non-current asset
- ☒ **D** Current asset

Café Pinch sells many filled Ciabattas. The most popular is mozzarella cheese and avocado, selling for €5.30. The cost of making this Ciabatta is €2.56.

(v) Which **one** of the following is the markup for the mozzarella cheese and avocado Ciabatta?

Select **one** answer.

(1)

- ☒ **A** 48%
- ☒ **B** 93%
- ☒ **C** 107%
- ☒ **D** 207%

Café Pinch wants to add French Fries to its menu. It will use British potatoes costing £0.82 per kilo.

The exchange rate is €1 (euro) = £0.84.

(vi) Which **one** of the following would *Café Pinch* pay in euros if it bought 50 kilos of potatoes?

Select **one** answer.

(1)

- ☒ **A** €59.52
- ☒ **B** €48.81
- ☒ **C** €42.00
- ☒ **D** €41.00

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3. Question 1 · part c · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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(b) Define the term **variable cost**.

(1)

(c) Define the term **niche marketing**.

(1)

(d) State **one** way *Café Pinch* can react to external social factors affecting its business.

(1)

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3. Question 1 · part c · 1 mark · Working and answer

Working and answer

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4. Question 3 · part d · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

3 *BEXIMCO*, the owner of *Yellow*, is a multinational business that operates in many areas, including chemical, engineering and financial services.

(a) Define the term **multinational business**.

(1)

(b) Outline **one** benefit to *BEXIMCO* of owning *Yellow*.

(2)

In 2017 *BEXIMCO* had a total revenue of £147.5 million. *Yellow*'s revenue for the same year was £10.68 million.

(c) Calculate, to 2 decimal places, the percentage of revenue that *Yellow* contributed to *BEXIMCO*'s total revenue.

(2)

..... %

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4. Question 3 · part d · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

Yellow prides itself on offering clothing at prices that all people can afford.

(d) Analyse why *Yellow* sells to all demographics.

(6)

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4. Question 3 · part d · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

Yellow is considering using non-financial rewards to help retain its employees.

It is considering **two** options:

Option 1: job enrichment

Option 2: job rotation.

(e) Justify which **one** of these two options *Yellow* should use.

(9)

(Total for Question 3 = 20 marks)

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4. Question 3 · part d · 6 marks · Working and answer

Working and answer

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Practice workbook · Market research data: types and reliability

Qualitative and quantitative data, social media as a data source, and why reliable data matters.

8 question parts: 1 worked-example retry and 7 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S4-03

1. Question 1 · part g · 6 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part g only.

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1 Most people recognise Heinz for the phrase '57 varieties' even though it now produces many more than the original 57 varieties. H J Heinz, the founder of the Heinz business, believed the phrase sounded lucky.

Kraft Heinz is a world-wide producer of food products. It was formed from the merger of Kraft Foods and Heinz in 2015. This created the third largest food and drinks business in the USA and the fifth largest food and drinks business in the world.

Kraft Heinz has over 24 different brands, including Greenseas in Australia and Nutri+Plus in New Zealand. America has the largest number of brands from Maxwell House to Cool Whip. *Kraft Heinz* produces many different products including tomato sauce, 'Mac&Cheese', pasta and its famous baked beans that are used and eaten by many people.

Kraft Heinz uses many methods to advertise its products. These include posters, billboards and leaflets in supermarkets.

(a) (i) Which **one** of the following is an example of primary market research?

Select **one** answer.

(1)

- ☒ **A** Published government statistics
- ☒ **B** Magazine article
- ☒ **C** Internet research
- ☒ **D** Focus groups

(ii) Which **one** of the following is an example of external communication?

Select **one** answer.

(1)

- ☒ **A** A presentation by the chairperson to its employees
- ☒ **B** Sending a customer details of a special offer
- ☒ **C** A departmental meeting
- ☒ **D** Training sessions for new employees

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1. Question 1 · part g · 6 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part g only.

On 13 September 2022 the share price of *Kraft Heinz* in America at 10.00 am was $36.55 and at 4.00 pm it was $35.06.

(iii) Which **one** of the following is the percentage decrease in the share price?

Select **one** answer.

(1)

- ☒ **A** 1.49%
- ☒ **B** 1.96%
- ☒ **C** 4.08%
- ☒ **D** 4.25%

Kraft Heinz uses price promotions to encourage customers to purchase more of its products. The price of a tin of baked beans in the US is $0.54. If 12 tins are purchased the price is reduced by 12.5%.

(iv) Which **one** of the following is the price of 12 tins of baked beans with the 12.5% promotional price discount?

Select **one** answer.

(1)

- ☒ **A** $5.67
- ☒ **B** $6.48
- ☒ **C** $56.25
- ☒ **D** $81.00

(v) Which **one** of the following would be a long-term source of finance for a sole trader?

Select **one** answer.

(1)

- ☒ **A** Trade credit
- ☒ **B** Overdraft
- ☒ **C** Personal savings
- ☒ **D** Share capital

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Olevels.com SCHOOL

1. Question 1 · part g · 6 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part g only.

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(vi) Which **one** of the following is the break-even point?

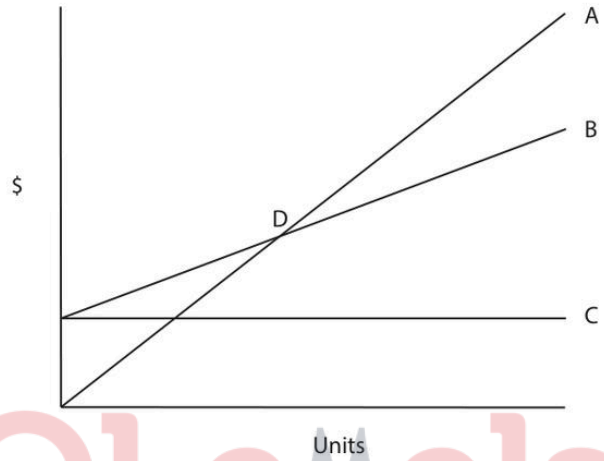


Figure 1

Select **one** answer. (1)

- ☒ **A**
- ☒ **B**
- ☒ **C**
- ☒ **D**

OLevels.COM SCHOOL

1. Question 1 · part g · 6 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part g only.

(b) Define the term **labour intensive production**.

(1)

(c) Define the term **trade bloc**.

(1)

(d) State **one** reason why *Kraft Heinz* prefers to train its employees using on-the-job training.

(1)

In North America, a *Kraft Heinz* employee is paid a salary of $15 750. If employees reach their production target for 'Mac&Cheese' they receive a bonus of 14%.

(e) Calculate the total pay an employee would receive once the bonus is added to their salary. You are advised to show your working.

(2)

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1. Question 1 · part g · 6 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part g only.

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(f) Explain **one** purpose for a business of the statement of financial position.

(3)

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1. Question 1 · part g · 6 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part g only.

Kraft Heinz is introducing a new variety of tomato sauce and has made changes to the recipe for its Mac&Cheese.

(g) Analyse the benefits to *Kraft Heinz* of using social media to collect market research data.

(6)

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(Total for Question 1 = 20 marks)

1. Question 1 · part g · 6 marks · Working and answer

Working and answer

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2. Question 1 · part c · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part c only.

1 *Backyard Shoez* is a retail business located in Nairobi, Kenya. It sells a wide range of shoes, handbags and accessories for ladies only. *Backyard Shoez* has three shops in Nairobi. The shops are located in a busy shopping centre where there are other shoe shops.

(Source adapted from: https://backyardshoez.co.ke/)

(a) (i) Which **one** of the following is a method of secondary market research?

(1)

Select **one** answer.

- ☒ **A** Questionnaires
- ☒ **B** Government reports
- ☒ **C** Surveys
- ☒ **D** Focus groups

(ii) Which **one** of the following could be a financial objective for the owners of *Backyard Shoez*?

(1)

Select **one** answer.

- ☒ **A** Personal satisfaction
- ☒ **B** Increased production quality
- ☒ **C** Increased market share
- ☒ **D** Loyal employees

(iii) Which **one** of the following is an external source of finance for the owner of a business?

(1)

Select **one** answer.

- ☒ **A** Bank loan
- ☒ **B** Retained profit
- ☒ **C** Personal savings
- ☒ **D** Selling assets

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2. Question 1 · part c · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part c only.

(iv) Which functional area would be responsible for quality control?

(1)

Select **one** answer.

- ☒ **A** Marketing
- ☒ **B** Human Resources
- ☒ **C** Production
- ☒ **D** Administration

In February 2018 *Backyard Shoez* imported 50 handbags from Italy. Each handbag cost them €20.

The exchange rate In February 2018 was €1 = 124.48 Kenyan Shillings (Ks).

(v) How much did *Backyard Shoez* have to pay in Kenyan Shillings for each handbag imported in February 2018?

(1)

Select **one** answer.

- ☒ **A** 2 489.60
- ☒ **B** 6 224.00
- ☒ **C** 24 896.00
- ☒ **D** 124 480.00

In September 2018 the exchange rate was €1 = 117.79 Ks.

(vi) What effect would this exchange rate have on *Backyard Shoez* if the cost of an imported handbag remained at €20?

(1)

Select **one** answer

- ☒ **A** Import costs would be unchanged
- ☒ **B** Net cash flow would improve
- ☒ **C** The price of the handbags in euros would rise
- ☒ **D** The cost of importing a handbag would fall

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2. Question 1 · part c · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part c only.

(b) Define the term **stakeholder**.

(1)

(c) Define the term **quantitative data**.

(1)

(d) State **one** method *Backyard Shoez* could use for on-the-job training.

(1)

Figure 1 is an extract from the statement of Profit or Loss Account of Backyard Shoez.

	Ks
Revenue	570 000
Cost of goods sold	67 500
Direct labour	2 000
Total cost of sales	69 500
Gross profit	500 500

Figure 1

(e) Calculate the gross profit margin to 2 decimal places. You are advised to show your working.

(2)

.....%

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2. Question 1 · part c · 1 mark · Working and answer

Working and answer

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3. Question 1 · part c · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

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1 *Loaf*, a bakery and cookery school, was set up by Tom Baker in Birmingham, UK. The aim is to promote real food and healthy living. It wants to use its skilled chefs to bring real food to the kitchens of the local community. It uses its cookery courses and bakery to help restore the local high street. *Loaf* also hosts pop-up events (one-off events) in different parts of the city where it shows off its products. Any profit made through these events is directed towards furthering *Loaf*'s charitable work.

Loaf operates a scheme called 'Waste Not'. At the end of the day *Loaf* donates any leftover food to charities who distribute it to local people. In addition, *Loaf* provides a recycling hub for the local community.

Loaf is a social enterprise with nine members of staff; six of whom are directors.

(a) (i) Which **one** of the following is a non-financial business objective?

(1)

Select **one** answer.

- ☒ **A** Profit
- ☒ **B** Sales
- ☒ **C** Market share
- ☒ **D** Personal satisfaction

(ii) Which **one** of the following is a part of the Boston Matrix?

(1)

Select **one** answer.

- ☒ **A** Rising star
- ☒ **B** Risk assessment
- ☒ **C** Product packaging
- ☒ **D** Extension strategy

(iii) Which **one** of the following is an additional payment to a basic wage?

(1)

Select **one** answer.

- ☒ **A** Promotion
- ☒ **B** Bonus
- ☒ **C** Job enrichment
- ☒ **D** Piece rate

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3. Question 1 · part c · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

Figure 1 shows the product life cycle diagram.

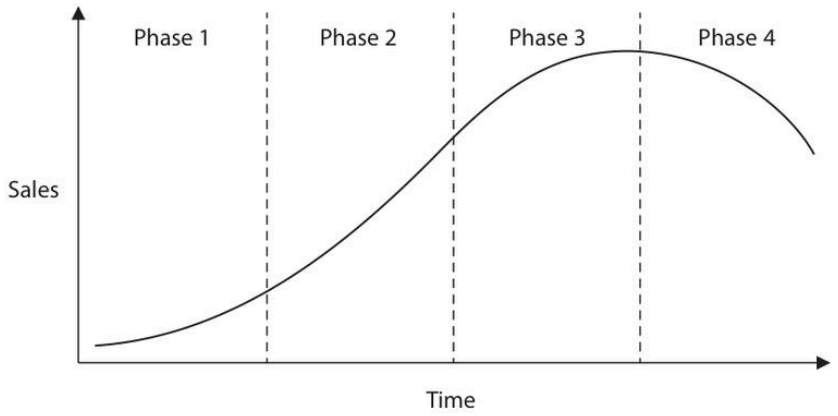


Figure 1

(iv) Which **one** is the correct label for Phase 2? **(1)**

Select **one** answer.

- ☒ **A** Growth
- ☒ **B** Decline
- ☒ **C** Introduction
- ☒ **D** Maturity

Loaf charges £165 for its day-long 'Seafood Masterclass' course. The cost to *Loaf* of running this course is £66.

(v) What mark up has *Loaf* applied to this course? **(1)**

Select **one** answer.

- ☒ **A** 99%
- ☒ **B** 150%
- ☒ **C** 231%
- ☒ **D** 250%

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3. Question 1 · part c · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

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Loaf is offering some Japanese students the opportunity to take part in a two-hour 'Bao and Dumplings' course. The course will cost £65.

The exchange rate is £1 (Pound) = 148.86 JPY (Japanese Yen).

(vi) Which **one** of the following amounts would a student pay for this course in Yen?

(1)

Select **one** answer.

- ☒ **A** 65.00 JPY
- ☒ **B** 148.86 JPY
- ☒ **C** 9620.00 JPY
- ☒ **D** 9675.90 JPY

(b) Define the term **capital intensive production**.

(1)

(c) Define the term **quantitative data**.

(1)

(d) State **one** reason why Tom Baker set up his business as a social enterprise.

(1)

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P 6 2 4 2 8 A 0 5 2 0

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Turn over ▶

3. Question 1 · part c · 1 mark · Working and answer

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4. Question 1 · part c · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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1 *Mahindra & Mahindra Limited (M&M)* is an Indian multinational vehicle manufacturing corporation with its headquarters in Mumbai, India. It is one of the largest manufacturers of cars, vans and tractors in the world.

M&M started in 1945 and has prospered for over 75 years with the aim of 'Rising through crisis'. In the 1970s with the oil crisis that sent the cost of petrol rising, it adapted its tractor diesel engines to be used in its cars and vans.

M&M is committed to ensuring that it protects the environment. In 2020 it planted 1.32 million trees across India. It supports schools for disadvantaged children and teenagers.

Figure 1 Maslow's Hierarchy of Needs

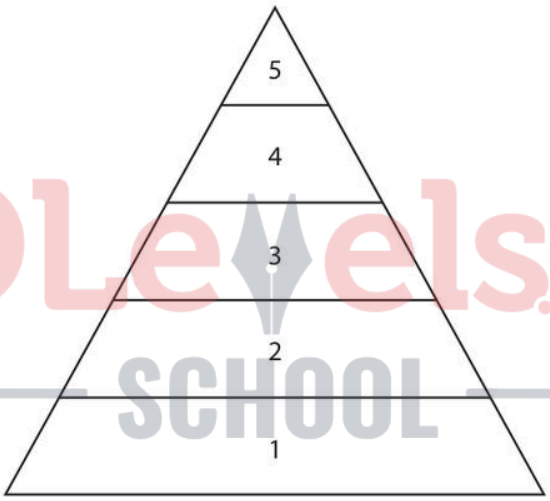


Figure 1

(a) (i) Which **one** of the following is Level 3 in Maslow's Hierarchy of Needs?

Select **one** answer.

(1)

- ☒ **A** Esteem
- ☒ **B** Social
- ☒ **C** Safety
- ☒ **D** Basic

4. Question 1 · part c · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(ii) Which **one** of the following is an external source of finance?

Select **one** answer.

(1)

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Selling assets
- ☒ **D** Venture capital

Below is an extract from a cash flow forecast for one month.

The opening balance was £20 000, cash inflow £28 000 and cash outflow £56 000.

(iii) Which **one** of the following is the closing balance for the end of the month?

Select **one** answer.

(1)

- ☒ **A** –£28 000
- ☒ **B** –£8 000
- ☒ **C** £48 000
- ☒ **D** £84 000

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(iv) Which **one** of the following is a reason why governments raise tax rates?

Select **one** answer.

(1)

- ☒ **A** To raise revenue for the government
- ☒ **B** To attract multinationals
- ☒ **C** To raise demand in the economy
- ☒ **D** To reduce unemployment

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4. Question 1 · part c · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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In 2020 *M&M* sold 288,302 tractors. The number of tractors sold in 2021 was 12% higher.

(v) What would be the number of tractors sold in 2021?

Select **one** answer.

(1)

- ☒ **A** 253,706
- ☒ **B** 300,302
- ☒ **C** 322,898
- ☒ **D** 322,910

A shop owner wanted to gain information from potential customers before opening his shop.

(vi) Which **one** of the following market research methods would the shop owner use?

Select **one** answer.

(1)

- ☒ **A** Market segment
- ☒ **B** Primary research
- ☒ **C** Research and development
- ☒ **D** Secondary research

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4. Question 1 · part c · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(b) Define the term **public corporation**.

(1)

(c) Define the term **qualitative market research**.

(1)

(d) State **one** reason why it is important for *M&M* to motivate its employees.

(1)

In 2019 *M&M* borrowed 448 million Indian Rupees. In 2020 it borrowed 900 million Indian Rupees.

(e) Calculate, to two decimal places, the percentage increase from 2019 to 2020. You are advised to show your working.

(2)

.....%

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4. Question 1 · part c · 1 mark · Working and answer

Working and answer

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5. Question 1 · part c · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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1 *Paco Rabanne* began trading in the 1960's. It changed from *Paco Rabanne* to *Rabanne*. The business was started by Francisco Cuervo. At first it designed and made costumes using plastic and metal for the film industry. Cuervo designed costumes for many film stars including Jane Fonda in Barbarella.

Later Francisco Cuervo developed a range of products for men, such as the aftershaves Paco Rabanne Pour Homme and Invictus, and for women, the perfumes 1 Million and Lady Million.

Rabanne is still one of the leading manufacturers of a range of products including fashionable clothes, handbags and jewellery. It has many employees across the world.

(a) (i) Which **one** of the following is a variable cost?

Select one answer.

(1)

- ☒ **A** Insurance
- ☒ **B** Rent
- ☒ **C** Salaries
- ☒ **D** Raw materials

OLevels.COM SCHOOL

(ii) Which **one** of the following is a type of discrimination protected by employee legislation?

Select **one** answer.

(1)

- ☒ **A** Political
- ☒ **B** Ethical
- ☒ **C** Age
- ☒ **D** Promotion

5. Question 1 · part c · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

Rabanne has promotional offers to encourage customers to buy its perfumes and aftershaves.

A customer buying Pour Homme and Lady Million together will receive a 12% promotional discount.

Pour Homme is priced at £85.00 (GBP) and Lady Million is priced £86.00 (GBP).

(iii) Which **one** of the following is the price of buying both items with the promotional discount?

Select **one** answer.

(1)

- ☒ **A** £129.65
- ☒ **B** £150.48
- ☒ **C** £160.80
- ☒ **D** £171.00

(iv) Which **one** of the following is an advantage of primary market research?

Select **one** answer.

(1)

- ☒ **A** It is cheaper than other types of market research
- ☒ **B** It is less time-consuming than secondary research
- ☒ **C** It is more up to date method of research
- ☒ **D** It is only carried out by market-research agencies

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5. Question 1 · part c · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

Figure 1 shows the monthly cash flow information for a business.

Opening balance	€76 000
Cash inflow	€54 000
Cash outflow	€34 000

Figure 1

(v) Which **one** of the following is the closing balance for this month?

Select **one** answer.

(1)

- ☒ **A** € 88 000
- ☒ **B** € 96 000
- ☒ **C** €110 000
- ☒ **D** €130 000

An American bank's interest rates have changed from 4.5% to 6.0%.

(vi) Which **one** of the following is a likely effect of this change for American businesses?

Select **one** answer.

(1)

- ☒ **A** Higher loan repayments
- ☒ **B** Decrease in labour costs
- ☒ **C** Improved net cash flow
- ☒ **D** Increase in sales

(b) Define the term **autonomy**.

(1)

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(c) Define the term **qualitative data**.

(1)

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Turn over ▶

5. Question 1 · part c · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(d) State **one** reason why *Rabanne* may use test marketing when introducing a new product.

(1)

In Europe a *Rabanne* handbag costs €1 590.00 (euro).

The exchange rate is €0.93 = $1.00

(e) Calculate, to two decimal places, the price of the handbag in US dollars. You are advised to show your working.

(2)

$ .....

(f) Explain **one** reason why an employer might use a letter to communicate with an employee.

(3)

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5. Question 1 · part c · 1 mark · Working and answer

Working and answer

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6. Question 3 · part b · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

3 (a) Define the term **share capital.**

(1)

(b) Outline how *CCT* could use quantitative research data to improve its service.

(2)

Figure 2 is an extract from the statement of comprehensive income from a *CCT* competitor.

	CYN
Revenue	85 000
Cost of sales	13 500
Gross profit	71 500

Figure 2

(c) Calculate, to two decimal places, the gross profit margin. You are advised to show your working.

(2)

.....%

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6. Question 3 · part b · 2 marks · Working and answer

Working and answer

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7. Question 3 · part b · 2 marks

2025 JUN · Paper 01

Further practice · Attempt part b only.

3 (a) Define the term **economies of scale**.

(1)

(b) Outline **one** way quantitative research data might help *Four Fitness* to improve its marketing mix.

(2)

Figure 3 is an extract of financial information from a *Four Fitness* monthly cash flow forecast.

	€
Cash inflow	60 000
Closing balance	21 500
Cash outflow	48 600

Figure 3

(c) Calculate the net cash flow balance. You are advised to show your working.

(2)

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7. Question 3 · part b · 2 marks · Working and answer

Working and answer

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8. Question 3 · part d · 6 marks

2024 JUN · Paper 01

Further practice · Attempt part d only.

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3 (a) Define the term **diseconomies of scale**.

(1)

(b) Outline **one** method of primary market research that *PPS* could use to gain feedback on its services.

(2)

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8. Question 3 · part d · 6 marks

2024 JUN · Paper 01

Further practice · Attempt part d only.

Figure 3 is an extract of financial information from a *PPS* monthly cash flow forecast.

	€
Opening balance	16 000
Cash inflow	22 000
Cash outflow	20 000

Figure 3

(c) Calculate the closing balance. You are advised to show your working.

(2)

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8. Question 3 · part d · 6 marks

2024 JUN · Paper 01

Further practice · Attempt part d only.

PPS wants information on its customers' spending patterns.

(d) Analyse the importance of reliable market research to obtain this information.

(6)

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8. Question 3 · part d · 6 marks

2024 JUN · Paper 01

Further practice · Attempt part d only.

PPS is looking to build another eight kennels with Closed-circuit television (CCTV) in its pet hotel. To do this it will need €7 500.

PPS is considering two options:

Option 1: using Rachel's personal savings

Option 2: taking out a small bank loan.

(e) Justify which **one** of these two options *PPS* should choose.

(9)

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P 7 5 8 4 1 A 0 1 6 2 4

8. Question 3 · part d · 6 marks · Working and answer

Working and answer

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